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Kimberly Ruggles Mell 2012 Family Trust

B.B.,

Plaintiff,

vs.

S. BRADLEY MELL, KIMBERLY
RUGGLES MELL, individually, and as guardian
of W.M., W.H. MELL
ASSOCIATES, INC., GULFSTREAM
CM, L.L.C., GULFSTREAM GM,
L.L.C, AERO CARE SERVICES,
L.L.C., EMILY MELL, ELIZA MELL,
STEVEN BRADLEY MELL 2012
FAMILY TRUST, KIMBERLY RUGGLES
MELL 2012 FAMILY TRUST and
MOUNTAINSIDE SECURITIES, LLC,

Defendants.

KIMBERLY RUGGLES MELL 2012
FAMILY TRUST,

Third-Party Plaintiff,

vs.

D.D. and E.E.,

Third-Party Defendants.

SUPERIOR COURT OF NEW JERSEY
LAW DIVISION: ESSEX COUNTY
DOCKET NO. ESX-L-7200-19

Civil Action

**DEFENDANT KIMBERLY
RUGGLES MELL 2012 FAMILY
TRUST'S STATEMENT OF
UNDISPUTED MATERIAL FACTS**

Pursuant to Rule 4:46-2, defendant Kimberly Ruggles Mell 2012 Family Trust ("KRM Trust") submits the following Statement of Undisputed Material Facts in support of its Motion for Summary Judgment against plaintiff B.B. ("Plaintiff" or "B.B.").

Plaintiff's Claims Against the KRM Trust

1. Plaintiff filed the initial Complaint in this matter on October 2, 2019, which did not name the KRM Trust as a defendant.

2. On April 17, 2020, Plaintiff filed a First Amended Complaint, adding the KRM Trust as a defendant and asserting a Fifteenth Cause of Action against the KRM Trust for Unjust Enrichment/Constructive Trust. (See Certification of A. Ross Pearlson dated January 15, 2026 (“Pearlson Cert.”) at Ex. 1).

3. Plaintiff pled in generalized terms that “[u]pon information and belief, on or after the start of the criminal investigation into the against [sic] Defendant Mell, Mell and Ruggles Mell transferred assets and/or property of Mell and Ruggles Mell into the Steven Mell and Kimberly Mell Trusts in an effort to avoid plaintiff’s ability to secure recovery against him.” (Id. ¶ 2 at p. 27).

4. On December 13, 2021, Plaintiff filed a Second Amended Complaint, adding an Eighteenth Cause of Action against the KRM Trust for alleged fraudulent transfer in violation of the Uniform Fraudulent Transfer Act, N.J.S.A. 25:2-20 to 25:2-34 relating to the sale of a boat. (Pearlson Cert., Ex. 2 (“SAC”) at p. 31-32).

Formation of the KRM Trust

5. The KRM Trust was formed on or about December 18, 2012, with Kimberly Ruggles Mell (“Ms. Ruggles Mell”) as the Grantor and her children, Emily, Eliza, and William, as the designated beneficiaries. (Pearlson Cert., Ex. 3).

6. Steven Bradley Mell (“Mr. Mell”) testified that the KRM Trust was formed for estate planning purposes and to support his children. (See Pearlson Cert., Ex. 4, Excerpt from deposition transcript of S. Bradley Mell dated September 22, 2021 at 160:9-24; 169:2-170:16).

7. Ms. Ruggles Mell also testified that the purpose of the KRM Trust was to benefit her three children. (Pearlson Cert., Ex. 5, Excerpt from deposition transcript of Kimberly Ruggles Mell dated October 6, 2021 at 149:20-150:17).

8. The KRM Trust Agreement provides in pertinent part:

Until the date of death of the survivor of the Grantor's husband, STEPHEN BRADLEY MELL ("BRADLEY") and the Grantor (the "Division Date"), the Trustee, at any time or times that she deems it advisable; may pay or apply to or for the benefit of the Children and their issue, such sum or sums out of the net income and/or principal of this Trust as the Trustee shall deem advisable to provide for the health, education (including but not limited to, elementary, secondary, undergraduate, graduate and postgraduate education), maintenance and support of the Children and their issue, as well as for any expenses incurred by or for them, or any of them, because of any illness, operation, infirmity, or other medical emergency.

(Ex. 3 at Art. 3.A).

9. The Second Amended Complaint does not allege that Mr. Mell and Plaintiff had any contact or even knew each other in 2012, when the KRM Trust was formed. (See SAC ¶ 52).

10. Plaintiff alleges that Mr. Mell engaged in inappropriate sexual encounters with her from June to November of 2017. (*Id.* at ¶ 83).

11. Prior to this litigation, Plaintiff had never heard of the KRM Trust. (Pearlson Cert., Ex. 6, Excerpt from deposition transcript of B.B. dated July 3, 2025 at 23:2-9).

The Bedminster Home

12. Plaintiff alleges that Mr. Mell and Ms. Ruggles Mell resided at 620 Black River Road, Bedminster, New Jersey (the "Bedminster Home") at the time Mr. Mell engaged in the inappropriate conduct with Plaintiff, the Bedminster Home was owned by the KRM Trust and the Steven Bradley Mell 2012 Family Trust ("SBM Trust"), and the Bedminster Home was sold. (SAC ¶¶ 29, 33, 34). None of these facts amount to a fraudulent transfer.

13. The KRM Trust acquired an ownership interest in the Bedminster Home back on December 18, 2012, when the KRM Trust was granted a 70% ownership interest from Ms. Ruggles Mell, as set forth in a recorded deed. (Pearlson Cert., Ex. 7).

14. On December 18, 2012, the SBM Trust was granted a 30% ownership interest from Mr. Mell in the Bedminster Home, as set forth in a recorded deed. (Pearlson Cert., Ex. 8).

15. The KRM Trust and SBM Trust were granted their respective interests in the Bedminster Home in 2012; several years before Mr. Mell allegedly engaged in the tortious acts toward B.B. in 2017. (See SAC ¶ 83). The grant of these interests could not have possibly been the result of Mr. Mell's efforts to avoid or hinder Plaintiff's ability to secure a recovery against him.

16. On or about April 24, 2019, the SBM Trust and KRM Trust sold the Bedminster Home for \$4 million to third-party, non-insider buyers, Leonard Y. Lee and Min K. Kwon, as set forth in a recorded deed. (Pearlson Cert., Ex. 9).

17. The Closing Disclosure for the 2019 sale of the Bedminster Home, which identifies the KRM Trust and SBM Trust as the seller, indicates that a net payment of \$1,378,407.01 was due to the seller, after payoff of the mortgages on the property and other costs. (Pearlson Cert., Ex. 10).

18. On April 24, 2019, a wire payment of \$964,884.91 was deposited into the KRM Trust's bank account, which constituted the KRM Trust's 70% interest in the net sale proceeds for the Bedminster Home. (See Pearlson Cert., Ex. 11).

19. \$413,522.01 was deposited into the SBM Trust's account, reflecting its 30% interest in the sale proceeds for the Bedminster Home. (Pearlson Cert., Ex. 12).

The Boat

20. Plaintiff alleges “[u]pon information and belief, on October 27, 2021, Mell through his attorney in fact, Michael Simon Scott orchestrated the transfer of the proceeds of the sale of his boat into the KRM Trust in the amount of \$326,976.06 to avoid plaintiff’s ability to secure recovery against him and directed that proceeds be sent to the SBM Trust in the amount of \$140,132.59.” (SAC ¶ 4 at p. 32). However, the payments to the KRM Trust and SBM Trust were made in conjunction with the documented, pre-existing debt owed by Mr. Mell to the KRM Trust and SBM Trust for loans made in June 2016 that were funded from the proceeds of a refinancing of the Bedminster home and used to purchase the boat.

21. In or around June 2016 (before Mr. Mell’s alleged wrongful conduct towards Plaintiff began), Mr. Mell purchased a Regulator 41 boat (the “Boat”), which was funded by means of a refinance loan taken out against the Bedminster Home in the amount of \$590,000. (See Pearlson Cert., Ex. 13).

22. The KRM Trust, which had a 70% interest in the Bedminster Home, was listed as the Borrower on the June 17, 2016 mortgage for \$590,000, with BNY Mellon, N.A. as the Lender and Endurance Abstract, LLC as the title company. (Id.).

23. Mr. Mell’s personal Bank of America account statement shows that \$580,292.31 was deposited into his account of June 22, 2016 via a wire from the title company, Endurance Abstract, LLC. (Pearlson Cert., Ex. 14).

24. The same statement shows an outgoing wire of \$540,962.40 on June 27, 2016 to Ocean House Marina Inc, the marina from which Mr. Mell purchased the Boat. (Id.).

25. The KRM Trust paid off the balance of the \$590,000 mortgage upon the sale of the Bedminster Home, and the KRM Trust was therefore entitled to repayment of 70% of the \$590,000

loan, or \$413,000, and the SBM Trust was entitled to the other 30% (\$177,000) from Mr. Mell. (Pearlson Cert., Ex. 15).

26. Mr. Mell and Ms. Ruggles Mell memorialized their understanding that the KRM Trust would be reimbursed for this loan upon the sale of the Boat. Section 5.3 of their Marital Settlement Agreement dated April 8, 2019 (“MSA”) provides in relevant part:

Boat. The parties recognize and agree that in connection with the purchase of the Regulator 41 Boat in July 2016, the Wife and the Husband borrowed the principal sum of approximately \$590,000.00 from the [Trusts]. The [Trusts] had obtained a bank loan, secured by the marital residence that is owned by [the KRM Trust] (70%) and [the SBM Trust] (30%), and loaned the funds to the Husband and the Wife to purchase the boat. The parties agree and acknowledge that they are endeavoring to sell the boat as reasonably expeditiously as possible. The parties agree that they will cooperate in good faith to cause the prompt sale of the boat. If the sale of the boat precedes the sale of the marital residence, the parties agree that any net proceeds, after payment of sale related expenses, shall be used to pay down the existing bank loan secured by the marital residence. If the sale of the boat occurs after the sale of the marital residence, the parties agree that any net proceeds, after payment of sale related expenses, shall be delivered to [the KRM Trust] (70%) and [the SBM Trust] (30%) to repay the loan to these trusts. The parties agree that so long as permissible under the terms governing the within mentioned trusts, any remaining proceeds, if any, from the sale of the boat after payment of all loans shall be decided with the Wife receiving sixty percent (60%) and Husband receiving forty percent (40%) by way of equitable distribution. In the event of any liability relating to storage, maintenance, or sale of the boat, the Wife shall pay fifty percent (50%) and the Husband shall pay fifty percent (50%) of these liabilities.

(See Pearlson Cert., Ex. 16 at § 5.3) (emphasis added).

27. Through his Power of Attorney for Mr. Mell, which was obtained on November 20, 2018, Michael Simon Scott caused the Boat to be sold, through a broker in an arms-length transaction on September 30, 2021 to Louis Sproviero for \$520,000. (See Pearlson Cert., Ex. 17; Ex. 18).

28. Mr. Scott had been serving as Trustee for the KRM Trust since March 16, 2020. (Pearlson Cert., Ex. 19).

29. Mr. Scott testified that he was forced to sell the Boat for several reasons: it was a liability, it was declining in value, the KRM Trust was losing money (because it was paying for

the Boat to be stored) and the ability to recover the funds it provided to Mr. Mell for the purchase of the Boat, and the MSA provided for the sale of the Boat. (Pearlson Cert., Ex. 20, Excerpts from deposition transcript of Michael Simon Scott dated July 22, 2025 at 110:2-19).

30. The depreciation in the Boat's value was demonstrated by the decreased listing price from \$620,000 in 2018 to \$559,995 in 2021. (Pearlson Cert., Ex. 21; Ex. 22).

31. The KRM Trust was also paying all of the expenses for the Boat before it was sold. (Ex. 20 at 145:8-16).

32. The sales price for the Boat was \$520,000, of which the KRM Trust's 70% share (because of the required loan repayment) was \$326,976.06 after the payment of commissions and taxes from the sale. (Ex. 18).

33. Those funds were deposited into the KRM Trust's account via wire transfer on October 27, 2021. (Pearlson Cert., Ex. 23).

34. On October 27, 2021, Ocean House Marina, Inc. sent Ms. Ruggles Mell a check payable to the SBM Trust in the amount of \$140,132.59, representing the remaining 30% of the net sales proceeds to which the SBM Trust is entitled for the loan it provided. (Pearlson Cert., Ex. 24).

35. Mr. Scott resigned as Mr. Mell's Power of Attorney on December 7, 2021. (Pearlson Cert., Ex. 25).

36. After the sale of the Boat, there still remains a balance due and owing from Mr. Mell to the KRM Trust for its 70% share of the \$590,000 loan to Mr. Mell, in the amount of \$86,024 (*i.e.*, \$413,000 minus \$326,976.00).

The Aero Care Deposit

37. During discovery, Plaintiff questioned a deposit into the KRM Trust's bank account on March 8, 2019 in the amount of \$501,006.19 from Aero Care Services LLC ("Aero Care").

(Pearlson Cert., Ex. 26). This alleged transfer was not identified in the Second Amended Complaint. Again, this deposit was not a transfer but constituted the repayment of loans made to Aero Care before Mr. Mell is alleged to have had inappropriate relations with Plaintiff.

38. Mr. Mell testified that Aero Care had previously been loaned approximately one million dollars for new engines for a plane, and this deposit was for repayment of that loan when the airplane was sold. (Pearlson Cert., Ex. 27, Excerpts from S. Bradley Mell's deposition transcript dated August 22, 2025 at 169:17-170:14).

39. Mr. Mell testified that the funds for this loan to Aero Care were funded by refinancing the Bedminster Home—in which the KRM Trust was later granted a 70% interest—through the Bank of New York. (Id. at 172:11-21).

40. On or about December 15, 2011, a refinancing loan for the Bedminster Home in the amount of \$2.4 million was approved through Bank of New York. (Pearlson Cert., Ex. 28).

41. Attachment A to this loan identifies loans to be paid in full at the time of closing, including a \$1,100,000 Airplane Loan. (Id. at p. 5).

42. Mr. Mell testified that this document shows the amount of money that was loaned to Aero Care through the refinancing of the Bedminster Home. (Ex. 27 at 174:20-175:25).

43. On or about February 27, 2019, Ms. Ruggles Mell wrote a letter to Mr. Mell in her capacity as the Manager of Aero Care. (Pearlson Cert., Ex. 29).

44. The letter sets forth that Aero Care sold the two airplanes it owned, and Aero Care was using the sales proceeds to repay the outstanding balances on its loans. (Id. at pp. 1-2).

45. The first table attached to this letter indicates that the KRM Trust and the SBM Trust loaned Aero Care approximately \$1,100,000 (which corresponds to the 2011 refinancing loan), with \$329,927.84 coming from the SBM Trust and \$769,831.63 from the KRM Trust. It is

noted that this loan was made in proportion to the Trusts' corresponding interests in the Bedminster Home, which was owned 30% by the SBM Trust and 70% by the KRM Trust. (Id. at KM001183).

46. The second table attached to this letter indicates the amounts being repaid to Aero Care's lenders, which shows \$501,006.19 to be paid to the KRM Trust—the same amount that was deposited into the KRM Trust's bank account on March 8, 2019. (Id. at KM001184; Ex. 24).

Withdrawals from KRM Trust Accounts

47. Though not in her pleadings, Plaintiff has recently suggested at the deposition of Mr. Scott and again in recent motion papers, that the following withdrawals constitute potential fraudulent transfers: (a) \$1,034,404.13 withdrawal from KRM Investments, LLC's account in July 2019; (b) \$997,079.27 withdrawal from the KRM Trust's account in August 2019; and (c) \$881,414.98 withdrawal from the KRM Trust's account in January 2020. However, the related bank documents demonstrate that the withdrawal of these funds from the KRM Trust account were the result of the forced closure of certain KRM Trust bank accounts and the funds being deposited into new KRM Trust bank accounts.

48. Mr. Scott testified that on multiple occasions, banks ran a "Know Your Customer" check and would close accounts for the KRM Trust relating to or referencing Mr. Mell's name because the banks discovered information pertaining to Mr. Mell's criminal case. (Ex. 20 at 20:2-15).

49. When a bank closed an account due to a "Know Your Customer" check, the funds needed to be transferred to another bank and a new account opened where the funds would be deposited. (Id. at 46:6-25). The record demonstrates that the withdrawals identified by Plaintiffs were the result of the process of transferring funds from one KRM Trust account to another KRM Trust account due to these closures.

50. The July 2019 statement for KRM Investments, LLC's Pershing account shows the withdrawal of \$1,034,404.13 on July 17, 2019. (Pearlson Cert., Ex. 30).

51. On the same date of July 17, 2019, the same amount of \$1,034,404.13 was deposited into a Peapack account for KRM Investments, LLC. (Pearlson Cert., Ex. 31).

52. The KRM Trust's Bank of America account statement for August 24, 2019 to September 23, 2019 shows the \$997,079.27 withdrawal for "account Closing Transaction." (Pearlson Cert., Ex. 32).

53. The KRM Trust's Wells Fargo account statement from September 2019 shows an initial deposit of \$997,079.27. (Pearlson Cert., Ex. 33).

54. The KRM Trust's Wells Fargo account statement for January 2020 shows the \$881,414.98 withdrawal. (Pearlson Cert., Ex. 34).

55. The KRM Trust's Dempsey Lord Smith account statement for April 2020 shows a deposit of \$881,414.98 on 04/09/20. (Pearlson Cert., Ex. 35).

56. Thus, all of the withdrawals from the KRM Trust's bank accounts identified by Plaintiff were deposited in KRM Trust accounts held in other banks, and none of them constitute a transfer going into or out of the KRM Trust.

CHIESA SHAHINIAN & GIANTOMASI PC
Attorneys for Defendant
Kimberly Ruggles Mell 2012 Family Trust

By: A. Ross Pearlson
A. ROSS PEARLSON

Dated: January 15, 2026

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CM, L.L.C., GULFSTREAM GM,
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L.L.C., EMILY MELL, ELIZA MELL,
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FAMILY TRUST, KIMBERLY RUGGLES MELL
2012 FAMILY TRUST and MOUNTAINSIDE
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KIMBERLY RUGGLES MELL 2012
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Third-Party Plaintiff,

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D.D. and E.E.,

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SUPERIOR COURT OF NEW JERSEY
LAW DIVISION: ESSEX COUNTY
DOCKET NO. ESX-L-7200-19

Civil Action

**BRIEF OF DEFENDANT KIMBERLY RUGGLES MELL 2012 FAMILY TRUST
IN SUPPORT OF ITS MOTION FOR SUMMARY JUDGMENT**

On the brief:

A. Ross Pearlson, Esq.
Craig M. Wagenblast, Esq.

TABLE OF CONTENTS

	<u>Page</u>
PRELIMINARY STATEMENT	1
PROCEDURAL HISTORY	2
STATEMENT OF FACTS	3
LEGAL STANDARD.....	11
LEGAL ARGUMENT.....	12
I. PLAINTIFF HAS NOT IDENTIFIED ANY FRAUDULENT TRANSFERS INVOLVING THE KRM TRUST.....	12
A. PLAINTIFF HAS NOT IDENTIFIED ANY ACTIONABLE “TRANSFERS” UNDER THE NJUVTA	13
B. THE KRM TRUST IS NOT A DEBTOR OF PLAINTIFF	16
C. THE KRM TRUST DID NOT INTENTIONALLY HINDER OR DELAY PLAINTIFF’S ABILITY TO COLLECT FROM ANY ASSETS THAT WERE OTHERWISE AVAILABLE TO PLAINTIFF.....	18
II. PLAINTIFF CANNOT SUSTAIN A CLAIM FOR UNJUST ENRICHMENT AGAINST THE KRM TRUST	21
III. THERE IS NO BASIS TO IMPOSE A CONSTRUCTIVE TRUST AGAINST THE KRM TRUST	22
CONCLUSION.....	25

TABLE OF AUTHORITIES

	Page(s)
Cases	
<u>In re Allen,</u> 2012 WL 693461 (Bankr. D.N.J. 2012).....	23
<u>Brill v. Guardian Life Ins. Co. of Am.,</u> 142 N.J. 520 (1995)	11
<u>Callano v. Oakwood Park Homes Corp.,</u> 91 N.J. Super. 105 (App. Div.1966)	21
<u>Castro v. NYT Television,</u> 370 N.J. Super. 282 (App. Div. 2004)	22
<u>Cooling Guard Mechanical Corp. v. Frankl,</u> 2017 WL 3671211 (N.J. Super. Ct. Ch. Div. August 18, 2017).....	17
<u>County of Essex v. First Union Nat’l Bank,</u> 373 N.J. Super. 543 (App. Div. 2004)	22
<u>D’Ippolito v. Castoro,</u> 51 N.J. 584 (N.J. 1968).....	23
<u>Dessel v. Dessel,</u> 122 N.J. Super 119 (App. Div. 1972), <u>aff’d</u> , 62 N.J. 141 (1973)	23, 25
<u>Flanigan v. Munson,</u> 175 N.J. 597 (2003)	23
<u>Gilchinsky v. Nat. Westminster Bank,</u> 159 N.J. 463 (1999)	18, 19
<u>Gray v. Bradley,</u> 1 N.J. 102 (1948)	23, 25
<u>Grupo Mexicano de Desarrollo S.A. v. Alliance Bond Fund, Inc.,</u> 527 U.S. 308 (1999).....	24
<u>Ledley v. William Penn Life Ins. Co.,</u> 138 N.J. 627 (1995)	11
<u>Majek Investments LLC v. Conventus, LLC,</u> A-3247-20, 2023 WL 8226284 (N.J. Super. Ct. App. Div. Nov. 28, 2023).....	13, 14

<u>Mangual v. Berezinsky,</u> 428 N.J. Super. 299 (App. Div. 2012)	11
<u>Mason v. Coca-Cola Co.,</u> 2010 WL 2674445 (D.N.J. June 30, 2010)	22
<u>Roitburg v. Roitburg,</u> A-0047-21, 2023 WL 5621711 (N.J. Super. Ct. App. Div. Aug. 31, 2023).....	13
<u>Sasco 1997 NL LLC v. Zudkewich,</u> 166 N.J. 579 (2001)	23
<u>SSC Serv. Corp. v. Turen,</u> No. 2:15-CV-4160-KM-MAH, 2020 WL 999709 (D.N.J. Mar. 2, 2020)	14, 16
<u>VRG Corp. v. GKN Realty Corp.,</u> 135 N.J. 539 (1994)	22
 Statutes	
<u>N.J.S.A. 25:2-21</u>	13
<u>N.J.S.A. 25:2-22</u>	13
<u>N.J.S.A. 25:2-24</u>	14
<u>N.J.S.A. 25:2-25(a)</u>	12, 14, 17
<u>N.J.S.A. 25:2-26</u>	19

PRELIMINARY STATEMENT

The Kimberly Ruggles Mell 2012 Family Trust (“KRM Trust”) brings this motion for summary judgment to dismiss the meritless claims that Plaintiff has brought against it for fraudulent transfers, unjust enrichment, and the imposition of a constructive trust. More than five years of discovery have passed since the KRM Trust was named as a defendant in this lawsuit, and Plaintiff has not presented **any** evidence to demonstrate that the KRM Trust was involved in any fraudulent transfers or intentionally interfered with Plaintiff’s ability to recover a judgment on her claims against any of the defendants.

Plaintiff’s fraudulent transfer claim against the KRM Trust fails in the first instance because Plaintiff cannot meet the basic statutory requirements for establishing any fraudulent transfers took place. Namely, Plaintiff has failed to identify any “transfers” as defined by the statute (N.J.S.A. 25:2-25, et seq.) nor shown that the KRM Trust was a “debtor” of the Plaintiff at any relevant time. The only alleged fraudulent transfers that Plaintiff identifies in her pleadings are the sale of a home and the sale of a boat. During the course of discovery, Plaintiff also questioned a deposit into the KRM Trust’s bank account from defendant Aero Care Services, LLC as well as a few withdrawals from the KRM Trust’s bank accounts. As set forth in detail below, these alleged transfers were the results of arm’s-length transactions with third parties, repayments of pre-existing loans given by the KRM Trust, and the changing of the KRM Trust’s bank accounts when other accounts were closed. Crucially, all of the underlying transactions involving the KRM Trust occurred before the events giving rise to this lawsuit took place and/or before the KRM Trust was named as a defendant in this lawsuit. Plaintiff is also unable to demonstrate that no reasonably equivalent value was exchanged for the transactions at issue because they involved arm’s-length transactions with third parties and/or the repayment of an antecedent debt. As such, Plaintiff cannot

meet the threshold requirements of demonstrating a transfer was made by a debtor to defeat the claim of a creditor.

Plaintiff's fraudulent transfer claim also fails because even assuming she could meet the basic statutory requirements, she cannot demonstrate that she had any interest in the KRM Trust's assets or that any such assets were intentionally placed out of Plaintiff's reach in order to hinder or delay her ability to recover on any claim. Indeed, it is indisputable that the KRM Trust is not a "debtor" nor is Plaintiff a "creditor" of the KRM Trust as defined by the statute.

Plaintiff's remaining claims for unjust enrichment and constructive trust also fail. Unjust enrichment is not a standalone tort claim, and Plaintiff has not alleged and cannot prove any contractual relationship or indirect quasi-contractual link between Plaintiff and the KRM Trust, that she conferred a benefit to the KRM Trust, or that, in consideration of and arising from that benefit, she reasonably expected remuneration from the KRM Trust. As Plaintiff testified, she was not aware of the existence of the KRM Trust until this lawsuit. Similarly, a constructive trust is a form of relief, not a cause of action, and is unavailable here, where Plaintiff has no viable underlying cause of action for which the relief of a constructive trust can be granted.

For these reasons, and as set forth more fully below, all of Plaintiff's claims against the KRM Trust fail as a matter of law and should be dismissed in their entirety on summary judgment.

PROCEDURAL HISTORY

The initial Complaint filed by Plaintiff in this matter on October 2, 2019 did not name the KRM Trust as a defendant. On April 17, 2020, Plaintiff filed a First Amended Complaint, adding the KRM Trust as a defendant and asserting a Fifteenth Cause of Action against the KRM Trust for Unjust Enrichment/Constructive Trust. (See Certification of A. Ross Pearlson, Esq., dated January 15, 2026 ("Pearlson Cert."), Ex. 1). Plaintiff pled in generalized terms that "[u]pon information and belief, on or after the start of the criminal investigation into the against [sic]

Defendant Mell, Mell and Ruggles Mell transferred assets and/or property of Mell and Ruggles Mell into the Steven Mell and Kimberly Mell Trusts in an effort to avoid plaintiff's ability to secure recovery against him." (*Id.* ¶ 2 at p. 27). On December 13, 2021, Plaintiff filed a Second Amended Complaint, adding an Eighteenth Cause of Action against the KRM Trust for alleged fraudulent transfer in violation of the Uniform Fraudulent Transfer Act, N.J.S.A. 25:2-20 to 25:2-34 relating to the sale of a boat. (Pearlson Cert., Ex. 2 ("SAC") at p. 31-32). The discovery end date passed on November 18, 2025. As of the time of this filing, the trial date in this matter has been set for April 20, 2026.

STATEMENT OF FACTS

The KRM Trust refers to and incorporates herein its Statement of Undisputed Material Facts for a complete statement of the relevant facts and sets forth the summary below.

Based on a liberal review of the Second Amended Complaint and the record from discovery, Plaintiff has raised issues or alleged that the following transfers made to the KRM Trust are purportedly fraudulent: (1) proceeds from the sale of a family home in Bedminster, New Jersey to third parties in 2019; (2) proceeds from the sale of a boat to a third party in 2021; (3) a deposit from Aero Care, LLC into the KRM Trust's bank account in 2019; and (4) certain withdrawals from the KRM Trust's closed bank accounts and subsequent deposits into other KRM Trust bank accounts in 2019 and 2020. The factual record does not provide any support for these transactions to be deemed fraudulent transfers.

Formation of the KRM Trust

The KRM Trust was formed on or about December 18, 2012, with Kimberly Ruggles Mell ("Ms. Ruggles Mell") as the Grantor and her children, Emily, Eliza, and William, as the designated beneficiaries. (Pearlson Cert., Ex. 3). Mr. Mell and Ms. Ruggles Mell both testified that the KRM Trust was formed for estate planning purposes and to support their children. (Pearlson Cert., Ex. 4

at 160:9-24, 169:2-170:16; Ex. 5 at 149:20-150:17). The KRM Trust Agreement provides in pertinent part:

Until the date of death of the survivor of the Grantor's husband, STEPHEN BRADLEY MELL ("BRADLEY") and the Grantor (the "Division Date"), the Trustee, at any time or times that she deems it advisable; may pay or apply to or for the benefit of the Children and their issue, such sum or sums out of the net income and/or principal of this Trust as the Trustee shall deem advisable to provide for the health, education (including but not limited to, elementary, secondary, undergraduate, graduate and postgraduate education), maintenance and support of the Children and their issue, as well as for any expenses incurred by or for them, or any of them, because of any illness, operation, infirmity, or other medical emergency.

(Ex. 3 at Art. 3.A). Plaintiff does not allege that she had any contact with Mr. Mell or even knew him in 2012, when the KRM Trust was formed. (See SAC ¶ 52). Plaintiff alleges that Mr. Mell engaged in inappropriate sexual encounters with her from June to November of 2017. (Id. at ¶ 83). Prior to this litigation, Plaintiff had never heard of the KRM Trust. (Pearlson Cert., Ex. 6 at 23:2-9).

The Bedminster Home

Plaintiff alleges that Mr. Mell and Ms. Ruggles Mell resided at 620 Black River Road, Bedminster, New Jersey (the "Bedminster Home") at the time Mr. Mell engaged in the inappropriate conduct with Plaintiff, the Bedminster Home was owned by the KRM Trust and the Steven Bradley Mell 2012 Family Trust ("SBM Trust"), and the Bedminster Home was sold to a third party with the net proceeds being split between the KRM Trust and SBM Trust. (SAC ¶¶ 29, 33, 34). None of these facts amount to a fraudulent transfer.

As set forth in a recorded deed, the KRM Trust acquired an ownership interest in the Bedminster Home back on December 18, 2012, when the KRM Trust was granted a 70% ownership interest from Ms. Ruggles Mell. (Pearlson Cert., Ex. 7). The SBM Trust was granted a

30% ownership interest from Mr. Mell in the Bedminster Home on the same date. (Pearlson Cert., Ex. 8). The grant of the KRM Trust's and SBM Trust's (collectively, the "Trusts") interests in the Bedminster Home in 2012 was several years before Mr. Mell met Plaintiff or allegedly engaged in the tortious acts against Plaintiff in 2017 that form the basis of this lawsuit. (See SAC ¶ 83). The grant of these interests in the Bedminster Home to the Trusts could therefore not have possibly been the result of Mr. Mell's efforts to avoid or hinder Plaintiff's ability to secure a recovery against him.

On or about April 24, 2019, the Trusts sold the Bedminster Home for \$4 million to third-party, non-insider buyers, Leonard Y. Lee and Min K. Kwon, as set forth in a recorded deed. (Pearlson Cert., Ex. 9). The Closing Disclosure for the 2019 sale of the Bedminster Home, which identifies the KRM Trust and SBM Trust as the seller, indicates that a net payment of \$1,378,407.01 was due to the seller, after payoff of the mortgages on the property and other costs. (Pearlson Cert., Ex. 10). On April 24, 2019, a wire payment of \$964,884.91 was deposited into the KRM Trust's bank account, which constituted the KRM Trust's 70% interest in the net sale proceeds for the Bedminster Home. (See Pearlson Cert., Ex. 11). The SBM Trust received \$413,522.01, reflecting its 30% interest in the sale proceeds. (Pearlson Cert., Ex. 12).

The Boat

Plaintiff also attacks the use of certain proceeds from the sale of a boat to repay the KRM Trust for funds that had been advanced in connection with its purchase in 2016. Specifically, Plaintiff alleges "[u]pon information and belief, on October 27, 2021, Mell through his attorney in fact, Michael Simon Scott orchestrated the transfer of the proceeds of the sale of his boat into the KRM Trust in the amount of \$326,976.06 to avoid plaintiff's ability to secure recovery against him and directed that proceeds be sent to the SBM Trust in the amount of \$140,132.59." (SAC ¶

4 at p. 32). As detailed below, the payments to the KRM Trust and SBM Trust were made in conjunction with the documented, pre-existing debt owed by Mr. Mell to the KRM Trust and SBM Trust for loans made in June 2016 that were funded from the proceeds of a refinancing of the Bedminster Home and used to purchase the boat.

In or around June 2016 (a year before Mr. Mell's sexual abuse of Plaintiff began) Mr. Mell purchased a Regulator 41 boat (the "Boat"), which was funded by means of a refinance loan taken out against the Bedminster Home in the amount of \$590,000. (See Pearlson Cert., Ex. 13). The KRM Trust, which had a 70% interest in the Bedminster Home, was listed as the Borrower on the June 17, 2016 mortgage for \$590,000, with BNY Mellon, N.A. as the Lender and Endurance Abstract, LLC as the title company. (Id.). Mr. Mell's personal Bank of America account statement shows that \$580,292.31 was deposited into his account of June 22, 2016 via a wire from the title company, Endurance Abstract, LLC. (Pearlson Cert., Ex. 14). The same statement shows an outgoing wire of \$540,962.40 on June 27, 2016 to Ocean House Marina Inc, the marina from which Mr. Mell purchased the Boat. (Id.). Again, this transaction substantially pre-dates Mr. Mell's alleged sexual relations with Plaintiff in the summer of 2017.

The KRM Trust paid off the balance of the \$590,000 mortgage upon the sale of the Bedminster Home, and the KRM Trust was therefore entitled to a repayment of 70% of the \$590,000 loan, or \$413,000, and the SBM Trust was entitled to the other 30% (\$177,000) from Mr. Mell. (Pearlson Cert., Ex. 15). Mr. Mell and Ms. Ruggles Mell memorialized their understanding that the KRM Trust would be reimbursed for this loan upon the sale of the Boat. Section 5.3 of their Marital Settlement Agreement dated April 8, 2019 ("MSA") provides in relevant part:

The parties recognize and agree that in connection with the purchase of the Regulator 41 Boat in July 2016, the Wife and the Husband

borrowed the principal sum of approximately \$590,000.00 from the [Trusts]. . . . The parties agree and acknowledge that they are endeavoring to sell the boat as reasonably expeditiously as possible. . . . If the sale of the boat occurs after the sale of the marital residence, the parties agree that any net proceeds, after payment of sale related expenses, shall be delivered to [the KRM Trust] (70%) and [the SBM Trust] (30%) to repay the loan to these trusts.

(Pearlson Cert., Ex. 16 at § 5.3).

Through his Power of Attorney for Mr. Mell, which was obtained on November 20, 2018¹, Michael Simon Scott caused the Boat to be sold, through a broker in an arm's-length transaction on September 30, 2021 to a third party, Louis Sproviero, for \$520,000. (See Pearlson Cert., Ex. 17; Ex. 18). Mr. Scott had been serving as Trustee for the KRM Trust since March 16, 2020. (Pearlson Cert., Ex. 19). Mr. Scott testified that he was forced to sell the Boat for several reasons: it was a liability, it was declining in value, the KRM Trust was losing money (because it was paying for the Boat to be stored) and the ability to recover the funds it provided to Mr. Mell for the purchase of the Boat, and the MSA provided for the sale of the Boat. (Pearlson Cert., Ex. 20 at 110:2-19). The depreciation in the Boat's value was demonstrated by the decreased listing price from \$620,000 in 2018 to \$559,995 in 2021. (Pearlson Cert., Ex. 21; Ex. 22). The KRM Trust was also paying all of the expenses for the Boat before it was sold. (Pearlson Cert., Ex. 20 at 145:8-16).

The sales price for the Boat was \$520,000, of which the KRM Trust's 70% share (because of the required loan repayment) was \$326,976.06 after the payment of commissions and taxes from the sale. (Pearlson Cert., Ex. 18). Those funds were deposited directly into the KRM Trust's account via wire transfer on October 27, 2021. (Pearlson Cert., Ex. 23). On October 27, 2021,

¹ Mr. Scott resigned as Mr. Mell's Power of Attorney on December 7, 2021. (Pearlson Cert., Ex. 25).

Ocean House Marina, Inc. sent Ms. Ruggles Mell a check payable to the SBM Trust in the amount of \$140,132.59, representing the remaining 30% of the net sales proceeds to which the SBM Trust was entitled for the loan it provided. (Pearlson Cert., Ex. 24). After the sale of the Boat, there still remains a balance due and owing from Mr. Mell to the KRM Trust for its 70% share of the \$590,000 loan to Mr. Mell, in the amount of \$86,024 (i.e., \$413,000 minus \$326,976.00).²

The Aero Care Deposit

During discovery, Plaintiff raised questions concerning a deposit from Aero Care Services LLC (“Aero Care”) into the KRM Trust’s bank account on March 8, 2019 in the amount of \$501,006.19. (Pearlson Cert., Ex. 26). This alleged transfer was not identified in the Second Amended Complaint. This deposit was not a transfer but constituted the repayment of loans made to Aero Care through a refinancing of the Bedminster Home well before Mr. Mell is alleged to have engaged in inappropriate relations with Plaintiff.

Mr. Mell testified that Aero Care had been loaned approximately one million dollars for new engines for a plane, and this deposit was for repayment of that antecedent loan when the airplane was sold. (Pearlson Cert., Ex. 27 at 169:17-170:14). Mr. Mell testified that this loan to Aero Care was funded through a refinancing of the Bedminster Home—in which the KRM Trust was later granted a 70% interest—through the Bank of New York. (Id. at 172:11-21).

On or about December 15, 2011, the Bank of New York approved a refinancing loan for the Bedminster Home in the amount of \$2.4 million. (Pearlson Cert., Ex. 28). Attachment A to this loan identifies loans to be paid in full at the time of closing, including a \$1,100,000 Airplane Loan.

² The KRM Trust has asserted a crossclaim against Mr. Mell for the outstanding balance owed. That crossclaim is not subject to this motion for summary judgment.

(Id. at p. 5). Mr. Mell testified that this document shows the amount of money that was loaned to Aero Care through the refinancing of the Bedminster Home. (Ex. 27 at 174:20-175:25).

On or about February 27, 2019, Ms. Ruggles Mell wrote a letter to Mr. Mell in her capacity as the Manager of Aero Care. (Pearlson Cert., Ex. 29). The letter sets forth that Aero Care sold the two airplanes it owned, and Aero Care was using the sales proceeds to repay the outstanding balances on its loans. (Id. at pp. 1-2). The first table attached to this letter indicates that the KRM Trust and the SBM Trust loaned Aero Care approximately \$1,100,000 (which corresponds to the 2011 refinancing loan), with \$329,927.84 coming from the SBM Trust and \$769,831.63 from the KRM Trust. It is noted that this loan was made in proportion to the Trusts' corresponding interests in the Bedminster Home, which was owned 30% by the SBM Trust and 70% by the KRM Trust. (Id. at KM001183). The second table attached to this letter indicates the amounts being repaid to Aero Care's lenders, which shows \$501,006.19 to be paid to the KRM Trust—the same amount that was deposited into the KRM Trust's bank account on March 8, 2019. (Id. at KM001184; Ex. 24).

Withdrawals from the KRM Trust Accounts

Though also not referenced in the Second Amended Complaint, Plaintiff's counsel suggested at the deposition of Mr. Scott and again in recent motion papers, that the following withdrawals constitute potential fraudulent transfers: (a) \$1,034,404.13 withdrawal from KRM Investments, LLC's account in July 2019; (b) \$997,079.27 withdrawal from the KRM Trust's account in August 2019; and (c) \$881,414.98 withdrawal from the KRM Trust's account in January 2020. However, the relevant bank documents demonstrate that the withdrawals of these funds from the KRM Trust's account were the result of the forced closure of certain KRM Trust

bank accounts, and the funds were simply redeposited into new KRM Trust bank accounts. In short, there was no “transfer” of funds.

Mr. Scott testified that on multiple occasions, banks ran a “Know Your Customer” check and would close accounts for the KRM Trust relating to or referencing Mr. Mell’s name because the banks discovered information pertaining to Mr. Mell’s criminal case. (Ex. 20 at 20:2-15). When a bank closed a KRM Trust bank account due to a “Know Your Customer” check, the funds needed to be moved to another bank and a new account opened where the funds would be deposited. (Id. at 46:6-25). The record demonstrates that the withdrawals identified by Plaintiff were the result of the process of transferring funds from one KRM Trust account to another KRM Trust account due to these forced account closures.

The July 2019 statement for KRM Investments, LLC’s Pershing account shows the withdrawal of \$1,034,404.13 on July 17, 2019. (Pearlson Cert., Ex. 30). On the same date of July 17, 2019, the same amount of \$1,034,404.13 was deposited into a Peapack account for KRM Investments, LLC. (Pearlson Cert., Ex. 31).

The KRM Trust’s Bank of America account statement for August 24, 2019 to September 23, 2019 shows the \$997,079.27 withdrawal for “account Closing Transaction.” (Pearlson Cert., Ex. 32). The KRM Trust’s Wells Fargo account statement from September 2019 shows an initial deposit of \$997,079.27. (Pearlson Cert., Ex. 33).

The KRM Trust’s Wells Fargo account statement for January 2020 shows the \$881,414.98 withdrawal. (Pearlson Cert., Ex. 34). The KRM Trust’s Dempsey Lord Smith account statement for April 2020 shows a deposit of \$881,414.98 on 04/09/20. (Pearlson Cert., Ex. 35).

Thus, all of the withdrawals from the KRM Trust’s bank accounts identified by Plaintiff were deposited in KRM Trust accounts held in other banks, and none of them constitute a transfer going into or out of the KRM Trust. Instead, the funds remained with the KRM Trust at all times.

LEGAL STANDARD

Granting a motion for summary judgment is proper when “the pleadings, depositions, answers to interrogatories, and admissions on file, together with the affidavits, if any, show that there is no genuine issue as to any material fact challenged and that the moving party is entitled to judgment . . . as a matter of law.” R. 4:46-2(c); see also Brill v. Guardian Life Ins. Co. of Am., 142 N.J. 520, 528–29 (1995). “The task of the motion judge then is to determine whether ‘the evidence presents a sufficient disagreement to require submission to a jury or whether it is so one-sided that one party must prevail as a matter of law.’” Mangual v. Berezinsky, 428 N.J. Super. 299, 314 (App. Div. 2012) (quoting Brill, 142 N.J. at 536).

The New Jersey Supreme Court “encourage[s] trial courts *not* to refrain from granting summary judgment when the proper circumstances present themselves.” Brill, 142 N.J. at 541 (1995) (emphasis added). By its plain language, the summary judgment rule dictates:

A court should deny a summary judgment motion *only* where the party opposing the motion has come forward with evidence that creates a “genuine issue as to any material fact challenged.” That means a non-moving party cannot defeat a motion for summary judgment merely by pointing to any fact in dispute.

Id. at 529. (emphasis added).

Summary judgment “is designed to provide a prompt, businesslike and inexpensive method of disposing of any cause which a discriminating search of the merits . . . clearly shows not to present any genuine issue of material fact requiring disposition at a trial.” Ledley v. William Penn Life Ins. Co., 138 N.J. 627, 641-42 (1995) (quoting Judson v. Peoples Bank & Trust Co. of Westfield, 17 N.J. 67, 74 (1954)).

For the reasons set forth below, the KRM Trust has met the standard for a grant of summary judgment dismissing all of Plaintiff's claims.

LEGAL ARGUMENT

I. PLAINTIFF HAS NOT IDENTIFIED ANY FRAUDULENT TRANSFERS INVOLVING THE KRM TRUST

Plaintiff's fraudulent transfer claims against the KRM Trust fail for several reasons. First, Plaintiff cannot establish the basic statutory requirements to establish her standing to maintain a fraudulent transfer claim against the KRM Trust. Second, Plaintiff has not proven that she had any interest in the KRM Trust's assets and that such assets were intentionally transferred or placed out of her reach. Simply put, the KRM Trust is not a "debtor," Plaintiff is not a "creditor" of the KRM Trust, and the transactions at issue do not involve "transfers."

Any purported claim under New Jersey's Uniform Voidable Transfers Act ("NJUVTA")³ against the KRM Trust fails based solely on the absence of any alleged "transfer," "debtor," or "creditor" as the NJUVTA defines those terms. The NJUVTA defines an actual fraudulent or voidable transfer as "A transfer made or obligation incurred *by a debtor is voidable as to a creditor*, whether the creditor's claim arose before or after the transfer was made or the obligation was incurred, if the debtor made the transfer or incurred the obligation: *With actual intent to hinder, delay, or defraud any creditor of the debtor.*" N.J.S.A. 25:2-25(a)(1). A creditor making a claim for relief under the NJUVTA has the burden of proving the elements of such a claim. N.J.S.A. 25:2-25(b).⁴

³ New Jersey's Uniform Fraudulent Transfers Act was re-named the Uniform Voidable Transfers Act in 2021 after Plaintiff filed this lawsuit.

⁴ The amendments to the NJUVTA, which took effect on August 10, 2021, changed the burden of proof to a preponderance of the evidence. N.J.S.A. 25:2-25(b). Prior to that, plaintiffs were required to prove a fraudulent transfer claim by clear and convincing evidence. New Jersey courts have applied the clear and convincing burden of proof to alleged fraudulent transfers that occurred before the 2021 amendments to the NJUVTA. See Majek Investments LLC

A “Creditor” means a person who has a “Claim,” meaning a right to payment. N.J.S.A. 25:2-21. A “Debtor” means a person who is liable on a Claim. Id. A “Transfer” means every mode, direct or indirect, absolute or conditional, voluntary or involuntary, of disposing of or parting with an asset or an interest in an asset, and includes payment of money, release, lease, and creation of a lien or other encumbrance. N.J.S.A. 25:2-22.

Plaintiff cannot sustain a fraudulent transfer claim against the KRM Trust because she has not identified any “transfers” or established that the KRM Trust was a “debtor” of Plaintiff at any relevant time. Even if Plaintiff could meet those statutory requirements, there is no evidence that the KRM Trust intentionally hindered or delayed Plaintiff’s ability to recover on any claim.

A. Plaintiff Has Not Identified any Actionable “Transfers” Under the NJUVTA

Plaintiff has not demonstrated that any of the transactions involving the KRM Trust were “transfers” within the scope of the NJUVTA. Instead, they consisted of arm’s-length transactions with third parties, repayments of pre-existing loans given by the KRM Trust, or simply the movement of funds from one KRM Trust bank account to another. Even if the transactions at issue could be deemed transfers, Plaintiff cannot demonstrate that the KRM Trust’s antecedent loans or the repayments thereon were made “[w]ithout receiving a reasonably equivalent value in exchange” as required under N.J.S.A. 25:2-25a(2) to establish a viable claim for an actual fraudulent transfer.

The NJUVTA provides that “value” is “given for a transfer or an obligation if, in exchange for the transfer or obligation, property is transferred or an **antecedent debt is secured or**

v. Conventus, LLC, A-3247-20, 2023 WL 8226284, at *6 (N.J. Super. Ct. App. Div. Nov. 28, 2023) (applying the clear and convincing burden of proof applicable at the time of the decisions below); Roitburg v. Roitburg, A-0047-21, 2023 WL 5621711, at *2 (N.J. Super. Ct. App. Div. Aug. 31, 2023) (parties agreed that the pre-amendment clear and convincing burden of proof applied). Thus, any alleged fraudulent transfers involving the KRM Trust that occurred before August 10, 2021 must be proven by clear and convincing evidence. Regardless, under either the clear and convincing or preponderance of evidence standard, Plaintiff’s claims against the KRM Trust fail.

satisfied.” N.J.S.A. 25:2-24(a) (emphasis added). In the case, SSC Serv. Corp. v. Turen, No. 2:15-CV-4160-KM-MAH, 2020 WL 999709 (D.N.J. Mar. 2, 2020), the District of New Jersey, applying New Jersey state law, explored how the repayments of pre-existing loans constitute reasonably equivalent value. In that case, a defendant-debtor owed money to the plaintiff for failing to pay under a contract and also owed money on a loan from a third party. Id. at *1-2. The loan agreement between the defendant-debtor and the third party required the defendant-debtor’s income to be “swept” into a bank account to pay off the loan. Id. at *2. The court held that those “sweeps” were payments of antecedent debts, and there was no evidence that those payments were anything other than equal to the value of the loan previously transferred to the defendant-debtor. Id. at *12. Thus, the court found that the repayments of the antecedent loan were for reasonably equivalent value and did not constitute fraudulent transfers under the statute. Id.

New Jersey courts have found that reasonably equivalent value can exist even where a debtor satisfies an antecedent debt of a related third party. See Majek Invs. LLC v. Conventus, LLC, No. A-3247-20, 2023 WL 8226284, at *7 (N.J. Super. Ct. App. Div. Nov. 28, 2023) (affirming dismissal of fraudulent transfer claims on summary judgment where defendant indirectly received value from satisfying a related party’s debt). Thus, if a “debtor” can pay off the loans of a third party and those payments be considered reasonably equivalent value, it follows that when a debtor pays off its own antecedent debts, those payments cannot be deemed a fraudulent transfer. The transactions at issue here, which were simply repayments to the KRM Trust for funds it previously loaned, therefore cannot be considered transfers, much less fraudulent transfers, under the NJUVTA.

The first fraudulent transfer alleged by Plaintiff is the sale of the Bedminster Home. However, the sale of the Bedminster Home could not have been a “transfer” within the meaning

of the NJUVTA. Neither Mr. Mell nor Ms. Ruggles Mell were owners of the Bedminster Home at the time of the 2019 sale of the home. Notably, the Trusts' sale of the Bedminster home in 2019 was to third-party, non-insider buyers, Leonard Y. Lee and Min K. Kwon. (Pearlson Cert., Exs. 9, 10). Plaintiff cannot demonstrate that the sale of the Bedminster Home was anything other than an arm's-length transaction or that the 70% portion of the sale proceeds to which the KRM Trust was entitled was based on anything other than its ownership interest. In short, the sale proceeds were funds that belonged to the KRM Trust that never left its possession. Nor is there any evidence to suggest that the sales price of \$4 million was not a reasonably equivalent value for the sale of the Bedminster Home.

The deposit of \$501,006.19 from Aero Care into the KRM Trust's bank account on March 8, 2019 was not a "transfer" because this was a repayment for a loan made to Aero Care in 2011, before Mr. Mell or any of the defendants could have been considered a debtor of Plaintiff. Thus, both parties received reasonably equivalent value for this loan, and the \$501,006.19 repayment for an antecedent debt does not constitute a fraudulent transfer.

Likewise, for the Boat, the KRM Trust was repaid its *pro rata* portion for the loan used by Mr. Mell to purchase the Boat, which was funded through a refinance loan taken out in 2016 in the amount of \$590,000 secured by a mortgage on the Bedminster Home. (Pearlson Cert., Exs. 13, 14). The sales price for the Boat was \$520,000, of which the KRM Trust's 70% share (because of the required loan repayment) was \$326,976.00 after the payment of commissions and taxes from the sale. (Pearlson Cert., Ex. 18). Those funds were deposited directly from the broker to the KRM Trust via wire transfer. (Pearlson Cert., Ex. 23). Thus, while Mr. Mell still owes the KRM Trust the balance, the payment of a portion of the sale proceeds from the Boat to the KRM Trust

represents “reasonably equivalent value” received by the KRM Trust in connection with this loan. Once again, this satisfaction of an antecedent debt does not constitute a fraudulent transfer.

Finally, all of the funds from the withdrawals from the KRM Trust’s bank accounts identified by Plaintiff are accounted for, and none of them constitute any transfers going into or out of the KRM Trust. The KRM Trust was simply depositing its own funds from closed accounts into new accounts.

Therefore, none of the transactions involving the KRM Trust can be deemed an actionable transfer under the NJUVTA.

B. The KRM Trust Is Not A Debtor of Plaintiff

Plaintiff also cannot establish that she was at any relevant time a “creditor” with a claim against the KRM Trust as a “debtor,” as defined under the NJUVTA, when any of the relevant transactions occurred. Courts have noted that the NJUVTA only contemplates transfers from a debtor as defined by the statute, and courts focus on “whether the debtor put something owed to the creditor out of reach.” SSC Serv. Corp., 2020 WL 999709 at *10 (citing Gilchinsky v. Nat. Westminster Bank, 159 N.J. 463, 475 (1999)).

As set forth above, the Bedminster Home was owned by the KRM Trust and SBM Trust (which are not and never were “debtors” of Plaintiff under the NJUVTA). (Pearlson Cert., Exs. 7, 8, 9, 10). Thus, there could not have been a “transfer” by a “debtor” with respect to the sale of the Bedminster Home in 2019. There are also no allegations showing that Plaintiff could have been a creditor of Mr. Mell (or that Mr. Mell could have been a debtor) at the time of the KRM Trust’s acquisition of a 70% ownership interest in the Bedminster Home in 2012, several years before Mr. Mell allegedly engaged in the tortious acts toward Plaintiff in 2017. (Pearlson Cert., Ex. 7). In fact, Plaintiff does not allege that Mr. Mell and Plaintiff had any contact or even knew each other in 2012. (See SAC ¶ 53, alleging that Mr. Mell began “grooming” B.B. in the summer of 2015).

Plaintiff therefore was not, and could not have been, a creditor of Mr. Mell (nor Mr. Mell a debtor of Plaintiff) in 2012 when the KRM Trust was granted a partial ownership interest in the Bedminster Home. Plaintiff therefore cannot challenge the 2012 deeds granting the KRM Trust and the SBM Trust their ownership interests in the Bedminster Home, as only a creditor who has a right to payment at the time of the transfer may bring a viable cause of action for actual fraudulent transfer. See Cooling Guard Mechanical Corp. v. Frankl, 2017 WL 3671211 (N.J. Super. Ct. Ch. Div. August 18, 2017).

While Plaintiff could arguably be seen as a creditor with a claim against Mr. Mell, when the Bedminster Home was sold in 2019, it was not an “asset” of Mr. Mell or Ms. Ruggles Mell and had not been since 2012. It belonged to the KRM Trust and SBM Trust. Therefore, no “transfer . . . made by a debtor” could have occurred as required by N.J.S.A. 25:2-25(a). At best, the sale of the Bedminster Home in 2019 was a transaction made by the Trusts as non-debtors, which would be insufficient to state a claim for an intentional fraudulent transfer. Plaintiff therefore has no claim or right to payment from the sale of the Bedminster Home in 2019

The other loans from the KRM Trust also arose before the KRM Trust or any of the other defendants could be considered debtors of Plaintiff. The underlying loan to Aero Care from the refinancing proceeds occurred in 2011, years before Mr. Mell even knew Plaintiff, and the loan repayment to the KRM Trust was made in March 2019 before the KRM Trust was even named as a defendant in this case. Similarly, the loan from the KRM Trust to Mr. Mell to purchase the Boat took place in June 2016, approximately one year before Mr. Mell’s alleged abuse and before Mr. Mell could be deemed a debtor of Plaintiff. Thus, the KRM Trust was entitled to repayment for the Boat loan (an antecedent debt) before Plaintiff had any claim against Mr. Mell.

In addition to not being “transfers,” all of the withdrawals and deposits from the KRM

Trust's bank accounts that were redeposited into other KRM Trust bank accounts that Plaintiff has questioned were made before Plaintiff filed the First Amended Complaint against the KRM Trust. Therefore, the KRM Trust could not have possibly been a debtor to Plaintiff at the time these withdrawals and deposits were made.

Plaintiff's fraudulent transfer claims against the KRM Trust fail due to Plaintiff's inability to meet the statutory requirements of showing a transfer was made by a debtor. For that reason alone, the fraudulent transfer claims against the KRM Trust should be dismissed.

C. The KRM Trust Did Not Intentionally Hinder or Delay Plaintiff's Ability To Collect From Any Assets That Were Otherwise Available to Plaintiff

Even if Plaintiff could meet the threshold statutory requirements (which she cannot), the Court is required to make two relevant inquiries in determining whether a transfer constitutes an actual fraudulent transfer. See Gilchinsky v. Nat. Westminster Bank, 159 N.J. 463, 475-76 (1999). The first is "whether the debtor has put some asset beyond the reach of creditors which would have been available to them at some point in time but for the conveyance." Id. at 475 (citations omitted). By definition, this test has not and cannot be met because the KRM Trust was never a debtor of Plaintiff; Plaintiff is not a creditor of the KRM Trust; and none of the transactions at issue involved a transfer. Moreover, there is no showing that any asset of the KRM Trust would have been available to Plaintiff but for the alleged transfer. Any claim by Plaintiff against the KRM Trust therefore fails for this reason as well.

The second inquiry is "whether the debtor transferred property with an intent to defraud, delay, or hinder the creditor." Id. "Transfers calculated to hinder, delay, or defeat collection of a known debt are deemed fraudulent because of the debtor's intent to withdraw the assets from the reach of process." Id. "The person seeking to set aside the conveyance bears the burden of proving actual intent." Id. at 476. As set forth for each of the alleged fraudulent transfers below, Plaintiff

is not able to establish the necessary intent to prove actual fraudulent transfers.

The Trusts' sale of the Bedminster Home does not meet either of the two tests set forth in Gilchinsky for an actual fraudulent transfer. Again, the first test is "whether *the debtor* has put some *asset* beyond the reach of *creditors* which would have been available to them at some point in time but for the conveyance." Id. at 475 (emphasis supplied). Because the Bedminster Home was not an asset of Mr. Mell's on or after the time Plaintiff had any claim against Mr. Mell and Plaintiff was not a creditor of the KRM Trust, Plaintiff never had any available interest in the Bedminster Home or the net sale proceeds from same. As for the second test in Gilchinsky, even if the Trusts are somehow deemed to be debtor-transferors of the Bedminster Home, with Plaintiff being deemed a creditor having a claim against the Trusts at the time of the 2019 sale (which, at this point, would be an academic argument), Plaintiff still does not and cannot prove fraudulent "intent" on the part of the KRM Trust. None of the statutory badges of fraud, set forth in N.J.S.A. 25:2-26, are present in relation to the sale of the Bedminster Home.⁵ Plaintiff therefore has no claim or right to payment from the 2019 sale of the Bedminster Home, and the KRM Trust was not a participant in an actual fraudulent transfer. To the extent any purported claims against the KRM Trust are based on the sale of the Bedminster Home, they necessarily fail and must be dismissed.

The same holds true for Aero Care's repayment of the loan it received from the refinancing of the Bedminster Home. The loan to Aero Care of \$1,100,000 occurred in or around December 2011 (Pearlson Cert., Ex. 28), several years before Mr. Mell even knew Plaintiff. There is no indication that Aero Care could have possibly been considered a debtor of Plaintiff when it

⁵ For example, the 2019 sale of the Bedminster Home was not made to an insider, the Trusts did not retain possession of the home, the sale was not concealed in any way, and the KRM Trust was not joined as a defendant to this lawsuit until almost one year after the sale. See N.J.S.A. 25:2-26.

received this loan. When Ms. Ruggles Mell (in her capacity as the Manager of Aero Care) wrote the letter to Mr. Mell (in his capacity as the KRM Trust's trustee at that time) on February 27, 2019 advising that Aero Care was paying down its loans after selling its airplanes, Plaintiff had not even filed the initial Complaint in this matter. (Pearlson Cert., Ex. 29). Ms. Ruggles Mell's letter indicated that Aero Care was to pay \$501,006.19 to the KRM Trust to repay the loan—the same exact amount that was deposited into the KRM Trust's bank account on March 8, 2019. (Id. at KM001184; Ex. 24). Thus, the record shows this deposit was for the purpose of repaying an antecedent debt, with no evidence to suggest that this was paid with the intent of hindering or delaying Plaintiff's ability to recover on a claim.

Plaintiff was also never entitled to any of the proceeds from the sale of the Boat. While Mr. Scott was able to execute the sale agreement for the Boat as Mr. Mell's Power of Attorney, Mr. Scott caused the Boat, which was an expensive and depreciating asset, to be sold in order to protect the KRM Trust's interest in recovering payment for the Boat loan. (See Pearlson Cert., Ex. 20 at 110:2-19, 145:8-16; Ex. 21; Ex. 22). Furthermore, the KRM Trust's right to repayment of the Boat loan was memorialized in the Court-approved MSA. Thus, the record demonstrates that a portion of the Boat sale proceeds were sent to the KRM Trust to satisfy the antecedent debt and comply with the MSA, and was not done with the intention of depriving Plaintiff's access to same.

Finally, the withdrawals from the KRM Trust's bank accounts previously flagged by Plaintiff are not fraudulent transfers. The record demonstrates that these withdrawals were the result of bank accounts being closed due to the banks' discovery of the criminal charges against Mr. Mell and funds being redeposited into new accounts. Mr. Scott testified that on multiple occasions, banks ran a "Know Your Customer" check and would close accounts relating to or referencing Mr. Mell's name because the banks discovered information pertaining to Mr. Mell's

criminal case. (Ex. 20 at 20:2-15). When a bank closed an account due to a “Know Your Customer” check, a new account would need to be opened, and the funds were deposited into the new account. (*Id.* at 46:6-25). The record demonstrates this process of depositing funds from one KRM Trust account to another KRM Trust account as a result of these closures. Plaintiff had no claim to the funds in the KRM Trust’s bank accounts, and none of those funds actually left the KRM Trust’s possession.

Ultimately, Plaintiff has not identified any fraudulent transfers, and all claims against the KRM Trust sounding in fraudulent transfer should be dismissed on summary judgment.

II. PLAINTIFF CANNOT SUSTAIN A CLAIM FOR UNJUST ENRICHMENT AGAINST THE KRM TRUST

As set forth above, Plaintiff cannot satisfy a claim for fraudulent transfer against the KRM Trust. As a result, no fraudulent transfer could serve as a predicate for an unjust enrichment claim. Plaintiff has not provided any other basis for an unjust enrichment claim. The allegation that “the Trusts . . . have no right to those assets and/or property that were fraudulently transferred and have been unjustly enriched at the expense of B.B.” (SAC ¶ 4 at p. 29) is nothing more than a legal conclusion predicated upon a fatally flawed claim for actual fraudulent transfer that is not supported by the record. Plaintiff, therefore, fails to allege a viable cause of action for unjust enrichment.

Unjust enrichment is a theory of quasi-contractual liability that requires a direct relationship between the parties. See Callano v. Oakwood Park Homes Corp., 91 N.J. Super. 105, 109 (App. Div.1966) (holding that “quasi-contract cases involve either some direct relationship between the parties or a mistake on the part of the person conferring the benefit” and therefore “[a] plaintiff is not entitled to employ the legal fiction of quasi-contract to substitute one promisor or debtor for another”). Our Supreme Court has narrowed the scope of a viable claim for unjust enrichment as follows:

The unjust enrichment doctrine requires that plaintiff show that it expected remuneration from the defendant at the time it performed or conferred a benefit on defendant and that the failure of remuneration enriched defendant beyond its contractual rights.

VRG Corp. v. GKN Realty Corp., 135 N.J. 539, 554 (1994). The expectation of payment must be reasonable. County of Essex v. First Union Nat'l Bank, 373 N.J. Super. 543, 548 (App. Div. 2004).

Furthermore, “New Jersey law does not recognize unjust enrichment as an independent tort cause of action. Thus, where a plaintiff asserts an unjust enrichment cause of action along with [other] tort claims and there appear to be no allegations that the plaintiff expected or anticipated remuneration from the defendant, the unjust enrichment claim should be dismissed.” Mason v. Coca-Cola Co., 2010 WL 2674445, at *8 (D.N.J. June 30, 2010); see also Castro v. NYT Television, 370 N.J. Super. 282, 299 (App. Div. 2004).

Here, the conduct underlying Plaintiff’s unjust enrichment claim sounds in tort – not contract. Plaintiff has not alleged and cannot prove any contractual relationship or indirect quasi-contractual link between Plaintiff and the KRM Trust, that she conferred a benefit to the KRM Trust, or that, in consideration of and arising from that benefit, she reasonably expected remuneration from the KRM Trust. As indicated above, New Jersey does not recognize unjust enrichment as an independent cause of action sounding in tort, and, as such, Plaintiff’s unjust enrichment claim against the KRM Trust fails as a matter of law and should be dismissed.

III. THERE IS NO BASIS TO IMPOSE A CONSTRUCTIVE TRUST AGAINST THE KRM TRUST

The absence of a viable fraudulent transfer or unjust enrichment claim requires the dismissal of Plaintiff’s demand for a constructive trust set forth in the Fifteenth Cause of Action of the Second Amended Complaint. To begin with, a constructive trust is an equitable remedy and *not* a cause of action in and of itself. See Flanigan v. Munson, 175 N.J. 597 (2003). In New Jersey, courts apply a two-pronged test to determine whether a constructive trust is warranted in a given case. Id. at

608. First, the defendant must have committed a “wrongful act.” Id. A “wrongful act” includes “fraud, mistake, undue influence, or breach of a confidential relationship which has resulted in the transfer of property.” Id.; see also D’Ippolito v. Castoro, 51 N.J. 584, 589 (N.J. 1968). Second, that wrongful act must have resulted in a transfer or diversion of property that unjustly enriched its recipient. Flanigan, 175 N.J. at 608 (internal citations omitted). The New Jersey Supreme Court has expressly cautioned that “a constructive trust is a powerful tool to be used only when the equities in a given case clearly warrant it.” D’Ippolito, 51 N.J. at 589. “Thus, the suitability of imposing a constructive trust must be established by the movant by ‘clear, definite, unequivocal and satisfactory evidence.’” Gray v. Bradley, 1 N.J. 102, 104 (1948); see also Dessel v. Dessel, 122 N.J. Super 119, 121 (App. Div. 1972), aff’d, 62 N.J. 141 (1973).

Courts have declined to impose constructive trusts where the record shows an absence of unjust enrichment. Sasco 1997 NI. LLC v. Zudkewich, 166 N.J. 579 (2001); accord In re Allen, 2012 WL 693461 at *14-15 (Bankr. D.N.J. 2012) (“[T]he touchstone of the constructive trust doctrine is unjust enrichment.” (citing In re First Interregional Advisors Corp., 218 B.R. 722, 723 (Bankr. D.N.J.1997) (further citation omitted)). Without this touchstone, a plaintiff cannot successfully state a claim (or remedy) for the imposition of a constructive trust. In re Allen, 2012 WL 693461 at *14-15.

Here, Plaintiff’s demand for a constructive trust fails as a matter of law. First, Plaintiff fails to identify any particular assets (i.e., a trust res or corpus) against which the Court may consider imposing a constructive trust in the first instance. As set forth above, under the NJUVTA, Plaintiff is not a “creditor” with a “claim” as to the home sale proceeds or any other assets owned and/or transferred by the KRM Trust as a non-debtor. The Second Amended Complaint instead alleges that “to prevent unjust enrichment, the Court should impose a constructive trust on those assets and/or

property that were improperly transferred”) (SAC ¶6 at p. 29). In circular fashion and without identifying any specific assets or transfers, Plaintiff then concludes: “If B.B. is not permitted to recover these sums from the Trusts . . . and they are permitted to retain those assets, they will be unjustly enriched.” (SAC ¶7 at p. 29). Without something on which to impose a constructive trust, there can be no claim.

Second, Plaintiff has failed to identify any wrongful conduct in which the KRM Trust was allegedly involved. The tortious actions forming the central basis for the Second Amended Complaint were allegedly committed by Mr. Mell – not the KRM Trust. To the extent Plaintiff attempts to allege fraudulent transfers or unjust enrichment as the predicate wrongful conduct, Plaintiff has failed to do so for the reasons discussed above.

It is clear that Plaintiff’s constructive trust claim against the KRM Trust was brought solely to increase her ability to collect a judgment if she prevails on her claims against Mr. Mell. However, a constructive trust is not meant to be a remedy designed to preserve the collectability of an anticipated judgment pending litigation of claims in an action. The U.S. Supreme Court has expressly precluded the imposition of restrictions on the transfer of a defendant’s assets merely to provide security to a plaintiff for an anticipated judgment. See Grupo Mexicano de Desarrollo S.A. v. Alliance Bond Fund, Inc., 527 U.S. 308, 330, 333 (1999) (the requirement that the creditor obtain a prior judgment is a fundamental protection in debtor-creditor law). Plaintiff’s conclusory statements in the Second Amended Complaint as against the KRM Trust are unsubstantiated allegations rather than “clear, definite, unequivocal and satisfactory evidence” and, consequently, are insufficient to impose a constructive trust. See Gray v. Bradley, 1 N.J. at 104; Dessel, 122 N.J. Super at 121.

There is no evidence of any fraudulent transfer, unjust enrichment, or any other wrongful

conduct by the KRM Trust. As such, the Court should grant summary judgment and dismiss Plaintiff's constructive trust claim.

CONCLUSION

For all of the reasons set forth herein, the KRM Trust respectfully requests that this Court grant its motion for summary judgment to dismiss all of Plaintiff's claims asserted against it in their entirety. The KRM Trust was dragged into this case more than five years ago. Thousands of pages of discovery have been produced, over a dozen depositions have been taken, and the record is absent of any evidence to show that the KRM Trust was involved with any fraudulent transfers or wrongful conduct towards Plaintiff. These issues are ripe for summary judgment, and there is no basis for the claims against the KRM Trust to proceed to trial.

Respectfully submitted,

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